HOUSE . . . . No. 4758

The Commonwealth of Massachusetts

HOUSE OF REPRESENTATIVES, November 19, 2025.

The committee on Community Development and Small Businesses, to whom was referred the petition (accompanied by bill, House, No. 307) of Adam J. Scanlon relative to the economic growth of downtowns and main streets, reports recommending that the accompanying bill (House, No. 4758) ought to pass [Representative Thurber of Somerset dissents].

For the committee,

ANDRES X. VARGAS.

FILED ON: 11/13/2025

HOUSE . . . . No. 4758

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act supporting the economic growth of downtowns and small businesses.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

SECTION 1. This Act may be known as the MassMakers Act. For purposes of this Act, the following terms shall have the following meanings unless the context clearly requires otherwise:

"Marketplace facilitator" and "remote retailer" shall have the meanings set forth in 830 CMR 64H.1.9, or any successor regulation.

"Massachusetts Downtown Initiative", the Massachusetts Downtown Initiative established pursuant to Section XXXX of this Act, for the purpose of protecting, coordinating, promoting, and revitalizing downtowns and commercial districts of the commonwealth's cities and towns.

"MassMade business", an enterprise which (i) has its principal place of business in the commonwealth; (ii) is in good standing with the department of revenue; (iii) is registered with Supply Mass/Buy Mass, as defined in this Act; and (iv) produces raw materials, including agricultural items, in the commonwealth, or manufactures products or goods in the commonwealth.

“MassMakers Portal”, the one-stop shop interactive web portal established pursuant to Section 3 of this Act for prospective and established businesses in the commonwealth, to serve as the single, unified entry point for business information and statutory and regulatory compliance.

“Massport Model”, the bidder selection model implemented by the port authority which, in the port authority’s requests for proposals, requires bidders to incorporate diversity and inclusion plans into their bids, such plans to be considered alongside traditional criteria when evaluating bids and given a weight of 25%.

“Microbusiness”, an enterprise which has its principal place of business in the commonwealth, is independently owned and operated, and (i) if a manufacturing firm, has 25 or fewer employees, or (ii) if a service, construction or non-manufacturing firm, has 25 or fewer employees and average annual gross receipts over the 3 previous years not exceeding $3,500,000, indexed for inflation.

“Minority business”, an enterprise which has its principal place of business in the commonwealth, is independently owned and operated, and at least 51% of which is owned and dominantly controlled by adult minority principals as defined in 425 CMR 2.02(1), or any successor regulation thereto.

“Online sales” shall mean sales of tangible personal property or taxable services for which the order is placed by electronic means and shipped or delivered to a location in the commonwealth, including sales made by marketplace facilitators on behalf of third-party sellers.

“Physical point-of-sale transactions” shall mean sales at a retail location in the commonwealth where the purchaser takes possession at the time of sale.

“Small business”, a business entity, including its affiliates, that: (i) is independently owned and operated; (ii) has a principal place of business in the commonwealth; and (iii) would be defined as a "small business" under applicable federal law, as established in the United States Code and promulgated from time to time by the United States Small Business Administration.

“Supply Mass/Buy Mass”, the program established pursuant to Section 4 of this Act for the purpose of connecting local suppliers with local purchasers.

“Massachusetts-based business”, an enterprise that: (i) has its principal place of business in the commonwealth; (ii) is in good standing with the department of revenue; and (iii) has been in business for at least 1 year.”

SECTION 2. Section 22O of chapter 7 of the General Laws, as appearing in the 2020 Official Edition, is hereby amended by adding the following paragraph:-

When procuring goods or services through requests for proposals, state agencies shall consider the bidder’s principal place of business in addition to other criteria when evaluating bids. The weight given to Massachusetts-based businesses when evaluating bids shall be determined by each agency of the commonwealth in collaboration with the executive office of housing and economic development, the executive office of labor and workforce development and the executive office for administration and finance.

SECTION 3. Chapter 9 of the General Laws is hereby amended by inserting after section 31 the following section:-

Section 32: MassMakers Portal

Section 32. (a) There is hereby established a one-stop shop interactive web portal to be known as the MassMakers Portal for prospective and established businesses in the commonwealth. The state secretary, the executive office for administration and finance, the executive offices of education, energy and environmental affairs, health and human services, housing and economic development, labor and workforce development, public safety and security, and technology services and security, and the department of revenue shall jointly develop and implement the MassMakers Portal, which shall serve as a single, unified entry point for prospective and established businesses to obtain local business information and execute all statutory and regulatory compliance tasks required by the commonwealth in connection with the creation, continuing operation, or upscaling of business.

(b) In order to develop and implement the MassMakers Portal, the agencies identified in subsection (a) shall assemble a task force which shall consist of the state secretary, ex officio, or a designee, the secretaries of administration and finance, education, energy and environmental affairs, health and human services, housing and economic development, labor and workforce development, public safety and security, and technology services and security, ex officio, or their designees, the commissioner of revenue, ex officio, or a designee; 7 persons appointed by the attorney general, 1 of whom shall be from each of the 7 regions of the commonwealth: the western region, the central region, the northeast region, the Merrimack Valley, the metro west region, the Greater Boston region, and the southeast region; and 7 persons appointed by the governor, 1 of whom shall be from each of the 7 identified regions of the commonwealth. The governor, attorney general, state treasurer, and co-chairs of the task force shall have the discretion to appoint other members to the task force by majority vote. Persons appointed to the task force shall be members or representatives of the business community, including entrepreneurs, microbusiness owners, minority business owners and small business owners, and/or have demonstrated interests and experience in state agency processes, business regulations, web portal design and implementation, and/or other qualifications and experience that the appointing authorities determine are necessary to fulfilling the mission of the task force. Members shall be selected without regard to political affiliation, shall as fully as possible represent a diverse and equitable array of stakeholders, and shall serve without compensation. The state secretary, or a designee from among the members of the task force, and the secretary of housing and economic development, or a designee from among the members of the task force, shall serve as co-chairs.

(c) The task force shall perform a needs and cost assessment and may, subject to appropriation and the laws and regulations pertaining to the employment of consultants, employ such consultants as the task force deems necessary to assist in the execution of said assessment. Said assessment shall be completed and the results thereof shall be presented to the governor and the general court by March 1, 2025, to inform the budget of the next legislative annual session. The assessment shall include, but not be limited to, the following:

(1) recommendations on the location, design, functionality and scope of services of the MassMakers Portal, which at a minimum shall include:

(i) online account services through which businesses can monitor deadlines for submission of forms, documents and payments, as well as compliance status and standing with each state agency;

(ii) electronic applications for licenses and renewals thereof;

(iii) electronic payment options for fees and taxes incident to the creation, continuing operation or upscaling of business;

(iv) compliance alerts in connection with new or revised state statutes, regulations and procedures;

(v) toolkits and video tutorials on all aspects of starting a business in the commonwealth, operating a business, upscaling a business, completing forms and complying with state statutory and regulatory requirements in connection therewith;

(vi) Supply Mass/Buy Mass information, and coordination with Supply Mass/Buy Mass online services;

(vii) Mass Main Streets information, and coordination with Mass Main Streets online services;

and

(viii) technical assistance resources;

(2) an estimate of the costs of full implementation of the MassMakers Portal, including, but not limited to, those associated with technology, infrastructure, operations and maintenance, sharing and coordination of agency data, and security;

(3) recommendations for and an estimate of the costs of establishing and maintaining a help center staffed with persons trained to answer questions and assist with navigation of the MassMakers Portal;

(4) recommendations on the time-line for designing, developing and testing the MassMakers Portal, which at the latest shall have its first testing phase for the state secretary's office to process new business registrations and associated fee payments by December 31, 2024 , and shall have its second testing phase to submit tax payments with the department of revenue by December 31, 2025 ;

(5) recommendations as to the roles of the agencies identified in subsection (a) regarding ongoing operational management of the MassMakers Portal;

(6) a comprehensive analysis of the processes of all state agencies with respect to the creation, continued operation or upscaling of businesses located in the commonwealth, with a goal of simplifying and streamlining regulatory tasks and forms required by said agencies and strengthening the delivery of services provided by said agencies to entrepreneurs, microbusinesses, small businesses, and other businesses in the commonwealth;

(7) identification of any state statutory, regulatory or procedural changes that need to be made to effectuate the functionality of the MassMakers Portal;

(8) identification of existing entrepreneurial, microbusiness, small business, and other business assets, resources, web content and functions provided by state agencies to coordinate and incorporate such assets, resources, web content and functions into the MassMakers Portal;

(9) identification of potential impediments to functionality posed by federal law, if any, and recommendations for work-arounds or solutions to such impediments;

(10) the impact of prioritizing microbusiness applications and account services; and

(11) recommendations on potential incentives to encourage municipalities or regional planning authorities to create local portals for similar purposes or committed to similar mission outcomes as the MassMakers Portal, with the option of linking to or being incorporated into the MassMakers Portal.

(d) The task force may, subject to appropriation, appoint and may remove all such employees as may be necessary to carry out the work of designing and implementing the MassMakers Portal based on the results of the needs and cost assessment. Unless otherwise provided by law, all such appointments and removals of employees shall be made under chapter 31.

(e) The state secretary shall hold as a separate fund and may expend such sums as may be appropriated for the MassMakers Portal by the general court, and may accept gifts, donations, grants or bequests or any federal funds for any of the purposes set forth in this section, which shall be credited to the fund. All available money in the fund that is unexpended at the end of each fiscal year shall not revert to the General Fund and shall be available for expenditure by the task force in the subsequent fiscal year.

(f) The state secretary is hereby authorized to promulgate regulations to assure the timely and effective implementation of this section.

SECTION 4. Chapter 23A of the General Laws is hereby amended by striking out section 10A and inserting the following section:-

Section 10A: Supply Mass/Buy Mass; MassMade

Section 10A. (a) In order for the commonwealth to execute on its responsibility of facilitating expansion of the local economy, MOBD shall establish a program to be known as Supply Mass/Buy Mass for the purpose of connecting local suppliers with local purchasers, whether public or private, institutional, commercial or individual. In implementing said program, MOBD shall:

(1) establish requirements for local suppliers to register as MassMade businesses with Supply Mass/Buy Mass;

(2) design and implement a Supply Mass/Buy Mass interactive web portal through which local suppliers can register as MassMade businesses and create MassMade business profiles with industry-specific information;

(3) assemble a searchable database of MassMade businesses through the portal by industry, raw materials produced or products or goods manufactured, and other identifying characteristics, with specific search features independently tailored toward local institutional purchasers, commercial purchasers, and individual purchasers;

(4) develop toolkits and training videos available through the portal to guide MassMade businesses to better understand the needs and procurement processes of local institutional and commercial purchasers;

(5) enable local institutional and commercial purchasers to issue requests for proposals through the portal and MassMade businesses to respond to such requests through the portal;

(6) promote live networking events through the portal to connect MassMade businesses with local institutional and commercial purchasers;

(7) determine those raw materials, products or goods needed by local institutional and commercial purchasers currently purchased outside the commonwealth or from foreign countries, especially raw materials, products or goods required for the first time; inquire whether other local institutional or commercial purchasers are in need of such raw materials, products or goods; assess whether any MassMade businesses are capable of producing or manufacturing the needed raw materials, products or goods with additional capital or retooling;

(8) coordinate and connect the portal with the MassMakers Portal;

(9) identify other obstacles to conducting business in the commonwealth and advance resources through the portal to address those obstacles to the extent possible;

(10) promote public-private partnerships;

(11) develop, evaluate and recommend policies, initiatives and incentives to prevent consumer flight from local suppliers in the cities and towns of the Merrimack Valley and other border municipalities to suppliers in New Hampshire or other tax advantaged states or from other sources; and

(12) undertake any other activities necessary to implement the purposes of this section.

Dedicated effort shall be made to encourage diversity and advance equity based on race, color, religious creed, national origin, sex, gender identity, sexual orientation, genetic information, ancestry, disability, and language in implementing Supply Mass/Buy Mass.

(b) MOBD may consult with and seek input from interested stakeholders and shall work with entities including MassMade businesses, regional economic development organizations, microbusiness and small business associations, chambers of commerce, the supplier diversity office, the Massachusetts marketing partnership and the office of consumer affairs and business regulations in order to collect and provide business and product information related to MassMade businesses. All Supply Mass/Buy Mass information shall be readily accessible and free to the public.

(c) MOBD shall hold as a separate fund and may expend such sums as may be appropriated for Supply Mass/Buy Mass by the general court, and may accept gifts, donations, grants or bequests or any federal funds for any of the purposes set forth in this section, which shall be credited to the fund. All available money in the fund that is unexpended at the end of each fiscal year shall not revert to the General Fund and shall be available for expenditure by MOBD for Supply Mass/Buy Mass in the subsequent fiscal year.

(d) MOBD is hereby authorized to promulgate regulations to assure the timely and effective implementation of this section.

SECTION 5. Chapter 23A of the 2020 Official Edition of the General Laws is hereby amended after section 13 by inserting the following new section:-

131/2. Massachusetts Downtown Initiative

Within the Office of Business Development, there shall be established the Massachusetts Downtown Initiative. The Massachusetts Downtown Initiative shall serve as the principal agency for promoting and protecting the downtown and commercial districts of the commonwealth's cities and towns.

(a) The executive director of the Massachusetts Downtown Initiative shall be appointed by the governor, and serve at the pleasure of the governor. The position of executive director of

MDI shall be classified under section 45 of chapter 30 and the executive director of MDI shall devote full time during business hours to the duties of MDI.

(b) The executive director of MDI may, subject to appropriation and with the approval of MOBD, appoint and may, with like approval, remove all such employees as may be necessary to carry out the work of MDI. Unless otherwise provided by law, all such appointments and removals shall be made under chapter 31. The executive director may, subject to appropriation and the laws and regulations pertaining to the employment of consultants, employ such consultants as the executive director may deem necessary.

(c) MDI may accept and solicit funds, including any gifts, donations, grants or bequests or any federal funds for any of the purposes set forth in this section, which shall be credited to the Downtown Vitality Fund established pursuant to Chapter 10, Section 35TTT of the Massachusetts General Laws.

(d) MDI shall submit an annual report to MOBD, the clerks of the senate and house of representatives and the joint committee on community development and small businesses not later than December 31 on the cost-effectiveness of the fund. The report shall be made available on the MDI website. The report shall include: (i) expenditures made by MDI from money out of the fund to promote the revitalization of downtowns and commercial districts of the commonwealth’s cities and towns and to otherwise fulfill the mission of MDI pursuant to this section; and (ii) expenditures made by MDI for administrative costs.

SECTION 6. Chapter 10 of the General Laws, as appearing in the 2020 Official Edition, is hereby amended by inserting after section 35SSS, the following new section:

Section 35TTT. Downtown Vitality Fund

(a) As used in this section, the following words shall, unless the context requires otherwise, have the following meanings:-

“Agency”, the Executive Office of Housing and Economic Development.

“Commercial areas”, meaning central business districts, town centers, commercial corridors (“Main Streets”), neighborhood-serving commercial districts, and other walkable, mixed-use areas.

“District management entities”, which may include business improvement districts as defined in section 1 of chapter 40o of the general laws, parking benefit districts as defined in section 22A1/2 of chapter 40 of the general laws, cultural districts as defined in section 58A of chapter 10 of the general laws, or other district management strategies approved by the agency.

“Secretary”, the Secretary of Economic Development.

"Fund", the Downtown Vitality Fund, established under subsection (b) of section 35QQQ of chapter 10 of the general laws.

"Dedicated remote retailers sales tax revenue amount", all moneys received by the commonwealth equal to 1 per cent of the receipts from sales from remote retailers, which include both remote marketplace sellers and remote marketplace facilitators as defined by 830 CMR 64H.1.9.

(b) There is hereby established on the books of the commonwealth a separate fund to be known as the Downtown Vitality Fund. There shall be credited to the fund 1% of the the “dedicated remote retailers sales tax revenue amount”. Annual receipts into the fund on account of any fiscal year shall be considered to meet the full obligation of the commonwealth to the fund for said fiscal year.

(c) Amounts in the fund shall be held by the Executive Office of Economic Development, exclusively for the purposes of the fund, and the agency shall disburse amounts in the fund, without further appropriation, upon the request from time to time of its Secretary. All amounts in the fund, including investment earnings, shall be available for expenditure by the agency for any lawful purpose. The Fund shall be administered by the Massachusetts Downtown Initiative within EOED along with line item 7002-8075 and other technical assistance funds allocated to the office.

(d) The agency shall report annually on grants dispersed by the fund to the clerks of the house and senate and to the house and senate committees on ways and means.

(e) The agency shall make expenditures from the fund for the following purposes and subject to the following guidelines:

(1) To provide grants to establish district management entities in commercial areas.

(2) To provide operating grants to help strengthen and sustain existing district management entities approved by the agency.

(3) To provide technical assistance grants for local district management entities to conduct studies or launch new programs, and which might be paid to a third-party entity.

(4) To provide multi-year grants to communities participating in the Transformative Development Initiative (TDI) program, to be administered by the Massachusetts Development Finance Agency ("MassDevelopment").

(5) To provide direct grants to municipalities or municipally endorsed third parties to implement local economic development plans, small business plans, rapid response plans, or other such plans intended to strengthen local commercial areas.

(6) The agency will establish guidelines for awarding grants, which will incorporate the following priorities: support small business districts in Gateway Cities and other low-income areas; expand entrepreneurship opportunities among underrepresented communities; strengthen cultural identity and prevent cultural displacement; and require a local match set at a level commensurate with the strength of the local market economy.

(f) Not later than September 1 of each year, the secretary shall file a report in writing with the joint committee on community development and small businesses and the house and senate committees on ways and means concerning the grants made in the fiscal year ending on the preceding June 30.

(g) There shall be established a board to be known as the Downtown Vitality Advisory Board. Said board shall consist of at least 15 members, who shall be citizens of the commonwealth, and appointed by the secretary. The members of the board shall include at least one representative of the Massachusetts Development Finance Agency (MassDevelopment); at least one representative of the Massachusetts Cultural Council; at least two business improvement districts; at least two cultural districts; at least one Gateway City mayor, manager, or economic development director; at least one non-Gateway City municipal representative; and at least three members of small business representatives serving underrepresented communities, including immigrants and people of color. The Secretary shall appoint members for terms no longer than three years. Members shall serve without compensation. The board shall advise the director on the activities and uses of the fund including, but not limited to: reviewing and making recommendations on grant requirements and selection criteria, and reviewing grant applications and making recommendations relative to grant awards. The advisory board shall, from time to time, submit recommendations to the legislature on any legislative changes it deems necessary for the successful operation of the fund.

SECTION 7. Section 1 of chapter 40O of the General Laws, as appearing in the 2024 Official Edition, is hereby amended by inserting after the definition of “Management entity” the following definition:-

“Participating property owner”, any property owner who is not exempted from payment of BID fees and who shall be counted for purposes of establishing the petition threshold and meeting the signatory requirements.

SECTION 8. The second paragraph of section 3 of said chapter 40O, as so appearing, is hereby amended by striking out clause (5) and inserting in place thereof the following clause:-

(5) the criteria for exempting the fee for any class of property owners within the BID district, and the procedure, if any, for waiving the annual fee of an individual participating property owner who can provide evidence that the imposition of such fee would create a significant financial hardship.

SECTION 9. Section 4 of said chapter 40O is hereby amended by striking out the sixth paragraph and inserting in place thereof the following paragraph:-

Participation in the BID shall be permanent until after the discontinuation of the BID as provided in this section, or until the dissolution of the BID under section 10. A non-participating owner in the district shall become a participating member on the date of a renewal vote, as provided below. On or before the fifth anniversary of the organization of a newly created BID, the board of directors of the BID or of its designated management entity shall call a renewal meeting of the BID members to review the preceding 5–year history of the BID, to propose an updated improvement plan to succeed the then current improvement plan and to consider whether to continue the BID. The renewal meeting shall be held at a location within the district. Notice of the meeting shall be given to participating members in the manner provided in the by-laws, at least 30 days prior to the meeting. The BID shall continue if a majority of participating property owners who are not more than 30 days in arrears in any payment due to the BID and are present at the renewal meeting, in person or by proxy, vote to renew the BID commencing on the first day of the next fiscal year of the BID. Thereafter, the board of directors of the BID may opt for a renewal term of up to 10 years and shall follow all procedures for a renewal meeting heretofore described.

SECTION 10. Section 7 of said chapter 40O, is hereby amended by striking out the third paragraph and inserting in place thereof the following paragraph:-

The BID, through its improvement plan, shall have the option to limit or cap the maximum annual fee derived from individual properties or the total annual revenue generated by the BID; the BID may also establish a minimum fee threshold, below which property owners are exempted from paying the fee.

SECTION 11. Said section 7 of said chapter 40O is hereby further amended by inserting after the third paragraph the following paragraph:-

The initial management plan may also propose a “phase-in” period of not more than 3 years, with assessments increasing over the stated period. The formula for determining the district fee structure shall be set forth in the original petition as required by section 3.

SECTION 12. Section 8 of said Chapter 40O is hereby amended by striking out the fifth paragraph and inserting in place thereof the following paragraph:-

The BID corporation shall comply with the public charity reporting requirements of section 8F of chapter 12. A copy shall be made available for the public to access in the town or city offices or on the municipal website.

SECTION 13. Section 22A of chapter 40, as so appearing, is hereby amended by inserting, in paragraph 1, line 28, after the phrase “improvements to the public realm” the following words: “including district management activities and operations”

SECTION 14. Section 22C of said chapter 40, as so appearing, is hereby amended by inserting, in line 11, after the phrase, “public transportation station accessibility improvements” the following words: “district management activities and operations,”.

SECTION 15. Section 82 of Chapter 62C of the General Laws, as appearing in the 2024 Official Edition, is hereby amended by adding the following subsection:–

(f) (1) The department shall, to the maximum extent practicable and consistent with section 21, collect, maintain, and publish summary data that differentiates sales and use tax collections under chapters 64H and 64I by channel, including, at a minimum:

(i) collections attributable to marketplace facilitators;

(ii) collections attributable to remote retailers other than marketplace facilitators;

(iii) collections attributable to in-state vendors from physical point-of-sale transactions; and

(iv) consumer use tax remitted directly by purchasers.

(2) The department shall include this breakdown in its monthly revenue reports and its annual report, provided that no report shall disclose information that could identify a specific taxpayer. The commissioner may publish additional methodological notes, data dictionaries and revisions as necessary to ensure consistent reporting over time. The department shall implement the data collection and reporting required by this paragraph not later than January 1, 2026, and shall publish the first monthly report reflecting such breakdown not later than February 15, 2026, for the collections month of January 2026.

SECTION 16.

(a) There shall be a special commission to study how artificial intelligence and other emerging technologies can be used to support the enforcement activities of the department of revenue, with particular focus on sales and use tax compliance for online and marketplace transactions. The commission shall examine, without limitation: (i) data, tools and methods to detect non-filers and under-remitters among remote sellers and marketplace facilitators; (ii) techniques to distinguish online transactions from point-of-sale transactions occurring at physical locations within the commonwealth; (iii) approaches to improve audit selection, case prioritization and collections; (iv) safeguards to protect taxpayer confidentiality and reduce disparate impact or bias in automated systems; and (v) staffing, training, procurement and governance needs to responsibly deploy such technologies.

(b) The commission shall consist of the following members or their designees: the commissioner of revenue, who shall serve as chair; the secretary of administration and finance; the state comptroller; the secretary of technology services and security; the attorney general; the state auditor; and 6 additional members appointed by the governor, 1 of whom shall be a representative of the Massachusetts Taxpayers Foundation, 1 of whom shall have expertise in data privacy or civil liberties, and 2 of whom shall have expertise in artificial intelligence or data science. Members shall serve without compensation.

(c) To support the work of the commission, the commissioner of revenue may, notwithstanding any general or special law to the contrary, enter into memoranda of understanding with up to 2 public or private universities with demonstrated expertise in artificial intelligence, data science, public finance, or tax administration to serve as research partners to the commission. Such partners may provide research, data engineering, modeling, and evaluation support. Any access to confidential taxpayer information by a university partner shall be subject to chapter 62C, section 21, and to written agreements that (i) restrict use and redisclosure; (ii) require secure handling and destruction; and (iii) provide for penalties consistent with said section 21.

(d) The commission shall file with the clerks of the senate and house of representatives, the joint committee on revenue, and the house and senate committees on ways and means an interim report not later than September 1, 2026, and a final report not later than July 1, 2027, containing its findings and recommendations, including any drafts of legislation necessary to carry out its recommendations.

(e) The commission shall dissolve 120 days after filing its final report, unless extended by joint resolution.